

ECONOMICS

9708/12

Paper 1 Multiple Choice

February/March 2016

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Done

This document consists of **11** printed pages and **1** blank page.



- 1 An individual has an appointment with his bank manager.

He has a choice between travelling to the appointment by car, or leaving the car at home and travelling by bus and then by train. The costs of the journey are given below.

\$5

	\$
bus fare	2
train fare	3
car parking charge	4
petrol	2
car wear and tear costs	1

'The difference'
'\$2'

Given this information, what is the opportunity cost to the individual of travelling by car rather than by bus and train?

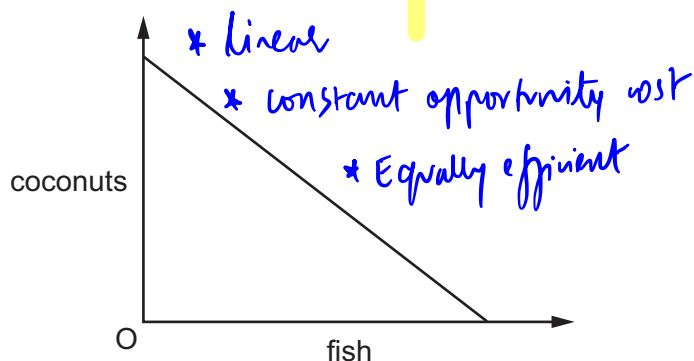
- A \$2 B \$4 C \$7 D \$12

Unlimited wants, limited resources, scarcity, choice, opportunity cost.

- 2 What confirms that scarcity exists?

- A A product has an opportunity cost. (you should be aware about economic problem).
 B The demand for a product has risen. $D \uparrow$, shortage
 C The government has set a minimum price for a product. $P \uparrow$, $Q_s > Q_d$: surplus
 D The supply of a product has fallen. $S \downarrow$, shortage

- 3 The diagram shows the production possibility frontier of a desert island economy where the inhabitants live off just two commodities, coconuts and fish.



PPC shows production, not consumption, also no combination is shown in the diagram.

What explains the shape of the production possibility frontier?

- A Coconuts and fish are perfect complements.
 B Coconuts and fish are perfect substitutes.
 C The inhabitants consume more fish than coconuts.
 D The opportunity cost of fish is constant as more time is devoted to fishing.

} unrelated to PPC

Other diagram of PPC is concave, increasing opportunity cost.

- 4 In 2014, there was an outbreak of ebola, a deadly disease, in West Africa. People obtained information from hospitals, radio broadcasts and notices posted by the roadside on how to prevent the disease from spreading.

* private good, price attached

How can these sources of information be classified?

* public good, non-rival
non-excludable

	private good hospitals	public good radio broadcasts	public good notices
A	private good ✓	private good	public good ✓
B	private good ✓	public good ✓	public good ✓
C	public good	private good	private good
D	public good	public good ✓	private good

- 5 A rise in the price of a good is accompanied by an increase in the quantity demanded.

What could explain this?

→ luxury, elastic, $P \uparrow, Q_d \downarrow$.

A Consumers spend a high proportion of disposable income on the good.

B The price of a complementary good has also increased. $P \uparrow \text{ car } D \downarrow \text{ petrol}$

C The price of the good is taken to be an indication of the level of quality. $\text{High price means high quality}$

D The substitute goods are all very much more expensive. $P \uparrow Q_d \uparrow$

↳ still rise in price will contract Q_d .

- 6 What causes the demand curve for an inferior good to shift to the right? $\text{Demand } \uparrow$

A a decrease in consumer incomes $Y \downarrow, D \uparrow, \text{negative relationship}$

B a decrease in income tax $\text{Disposable income } \uparrow, \text{Income } \uparrow, \text{inferior, Demand } \downarrow$

C a decrease in the price of a substitute good $P \downarrow \text{ coke, Demand } \downarrow \text{ pepsi}$

D a decrease in the price of the good, movement, price factor.

- 7 In a town, bus fares fall by 50% and this leads to an increase in bus use by 30%. The effect on car use is very low with only a 1% reduction.

What is the value of the cross-elasticity of demand between car travel and bus travel? Substitutes, +ve

A -0.60

B -0.02

C +0.02

D +0.60

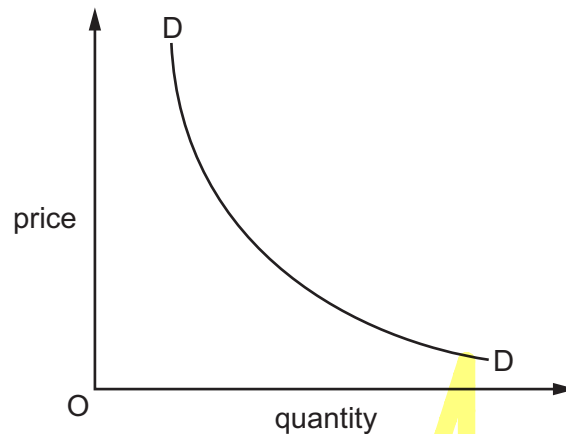
α

α

$$XED: \frac{1\%}{50\%} = +0.02$$

Unitary demand, TR/TE : unchanged⁴

- 8 In the diagram the rectangular hyperbola, DD, represents a firm's demand curve.



What can be deduced from the diagram?

- A An increase in the quantity supplied causes a fall in total revenue. *TR unchanged*
- B The price elasticity of demand decreases as we move down the demand curve. *In case of linear demand curve.*
- ☒ C The sale of an extra unit gains no extra revenue. *Unitary*
- D Total expenditure on the commodity decreases as the price falls. *TR/TE: unchanged in case of unitary*

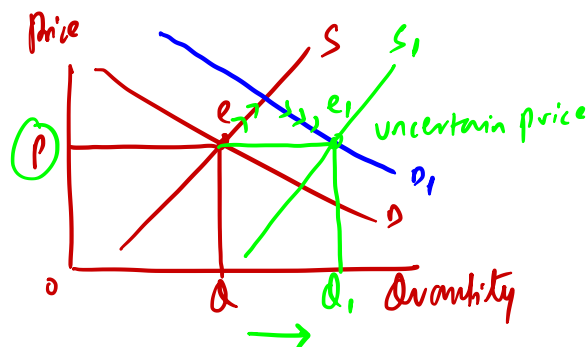
- 9 What is price elasticity of supply? $\rightarrow \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in Price}}$

- A the change in the quantity supplied when a price changes
- B the change in the quantity supplied when demand changes
- C the comparison of the proportionate change in supply to the proportionate change in demand
- ☒ D the comparison of the proportionate change in supply to the proportionate change in price
↳ proportionate / percentage.

- 10 The demand for tablets increases, while the cost of producing them decreases. $D \uparrow + S \uparrow$

What will be the effect on the price of tablets and on the quantity supplied?

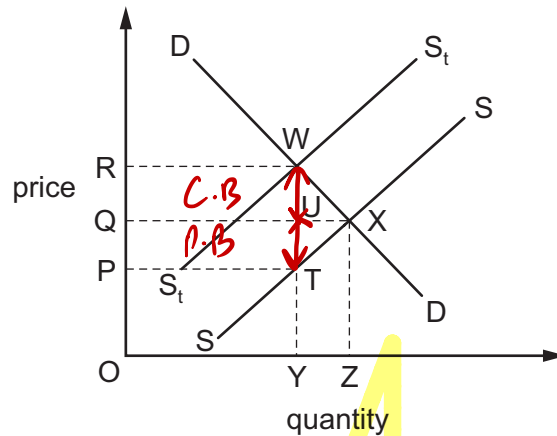
	price	quantity
A	fall	uncertain
B	rise	increase ✓
☒ C	uncertain ✓	increase ✓
D	uncertain ✓	uncertain



per unit tax
Vertical distance between two supply curves.

5

- 11 A specific tax is placed upon each bottle of perfume sold. In the diagram, SS is the supply curve before tax, $S_t S_t$ is the supply curve after tax.



Which area represents that part of the tax revenue paid by producers?

A ORWY

☒ B PQUT

C PRWT

D QRWU

↳ Total revenue

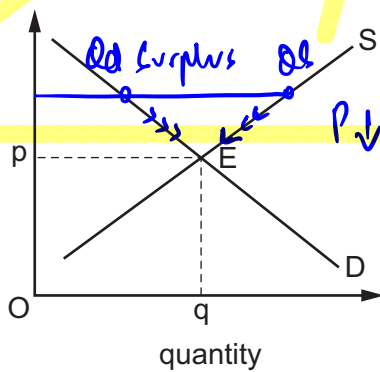
↳ P.B.

↳ C.B. + P.B. = Tax revenue

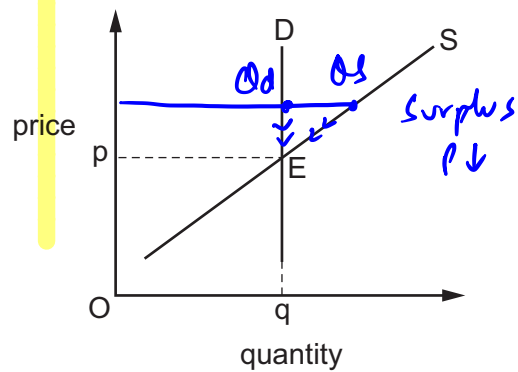
↳ C.B.

- 12 In which market would equilibrium not be achieved at point E if price were above O_p ?

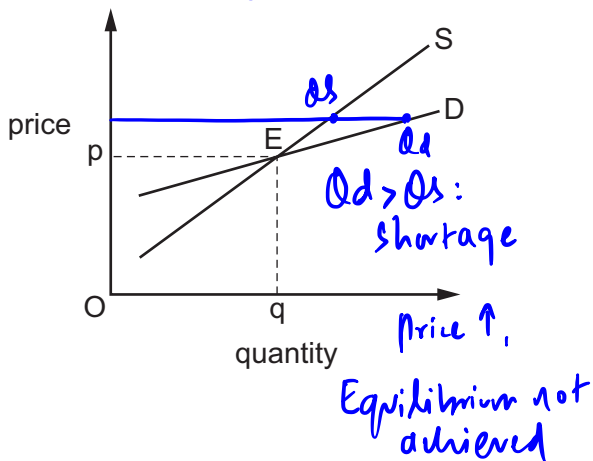
A



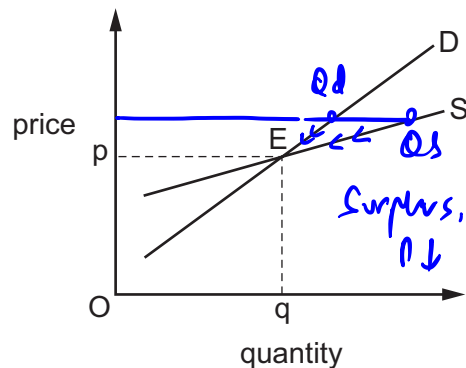
B



☒ C



D



Means: perfectly elastic supply

6

- 13 A company opened a garden to the public and charged for entry. The government then provided a grant to improve the garden on the condition that entry became free.

What would result from the government's action?

A The consumer surplus would increase.

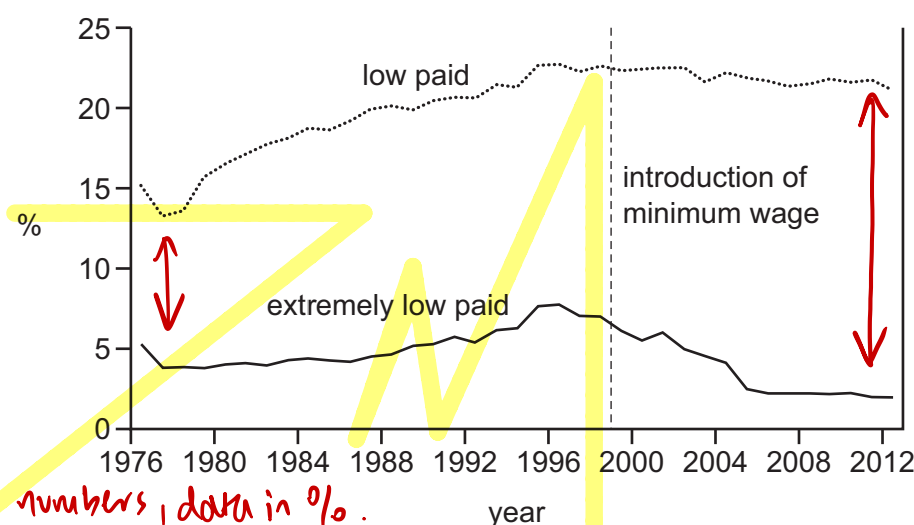
B The demand curve would shift to the left.

C The supply curve would be infinitely elastic.

D There would be no equilibrium position as the garden is free.

Price charged to free
C.S = Willingness - Actual
Price factor, also Demand ↑
Supply can't be infinite, it can't supply any demand
There will always be an equilibrium as someone will be covering cost of it.

- 14 The diagram shows the percentages of those on low pay and those on extremely low pay in the UK from 1976 to 2012. A national minimum wage was introduced in 1999.



Can't comment on numbers, data in %.

What conclusion is consistent with the diagram?

A The minimum wage helped the low paid more than the extremely low paid.

B The minimum wage reduced the numbers of both low paid and extremely low paid.

C The minimum wage reversed the trend in low pay of the previous 20 years.

D The minimum wage was responsible for the largest reduction of low pay in the period.

Can't comment on numbers, on data is in %

Yes, gap increased

Can't comment on amount, data in %

- 15 A 10% tax is placed on a good.

What type of product would be most likely to face the biggest impact on its equilibrium price as a result?

A one with elastic demand, Price increase by smaller percentage, $P \cdot B > C \cdot B$

B one with inelastic demand, Price increase by greater percentage, $C \cdot B > P \cdot B$

C one with infinite elasticity of demand, perfectly elastic demand

D one with unitary elasticity of demand, equal percentage change in price and quantity.

Its impact will be less than inelastic demand.

- 16 In 2009 the Australian government made a payment of \$900 to those who earned less than \$100 000 per year.

How would the effect of this transfer payment be described?

A neutral

☒ B progressive

C proportional

D regressive

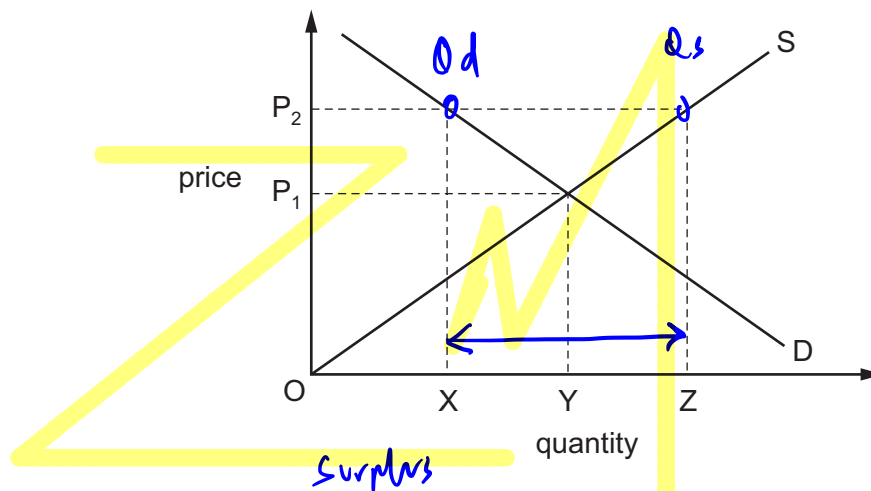
↳ Indirect tax, $ART > MRT$

Additional income ↑, rate of tax ↑. ($MRT > ART$)

(same %)

MRT : Marginal rate of tax
 ART : Average rate of tax

- 17 The diagram shows the market for wheat.



If the government wishes to fix the price at OP_2 what quantity of wheat must the government buy?

A OZ

B XY

☒ C XZ

D YZ

↳ Total Os

↳ contribution in Os

↳ surplus

↳ extension in Os

- 18 As part of a privatisation policy, a government deregulates bus services and sells off its public sector bus services to the private sector.

What is least likely to occur following these changes?

A Bus fares are increased.

Most likely, private sector, profit incentive

B Bus service companies invest in new buses.

Most likely

C Extra bus service companies enter the market.

Most likely, competition

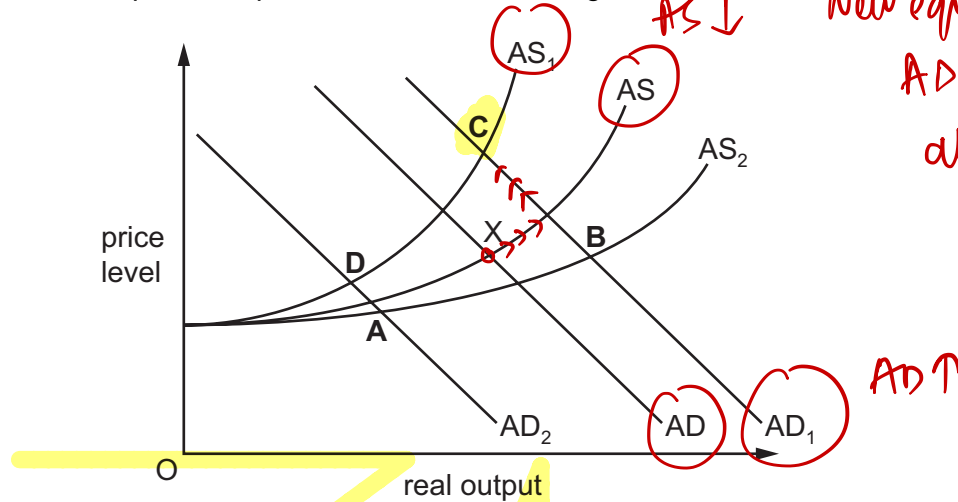
☒ D Loss-making bus services are retained.

Unlikely, if loss, firms exit.

8 disposable income ↑, C ↑, AD ↑ → cost ↑, AS ↓

- 19 A government decided to reduce income tax and increase sales tax. The initial equilibrium point is shown by X on the aggregate demand (AD) and aggregate supply (AS) diagram.

What would be the equilibrium point after these tax changes?



New equilibrium:
AD₁ = AS₁
at 'C'.

- 20 The table gives data for an economy.

	2010	2011	2012	2013	2014
Gross Domestic Product (GDP) at current prices (\$ billion)	200	220	240	300	320
GDP deflator (price index)	100	109	125	149	154

In which year did real GDP decline compared with the previous year?

- A 2011 B 2012 C 2013 D 2014

Real = $\frac{\text{Nominal GDP}}{\text{GDP deflator}}$

Rate of inflation ↑, cost of living ↑

- 21 What always happens when there is an increase in the Consumer Price Index?

- A an increase in consumer expenditure Not necessarily
 B an increase in the cost of living Yes
 C a reduction in living standards, require other factors to conclude
 D a reduction in real disposable income require tax information.

- 22 What would identify a country with a fundamental balance of payments disequilibrium?

- A alternate annual deficits and surpluses in the current account, self correcting
 B a continually growing balancing item, Net errors, equilibrium situation
 C a large short-term outflow of foreign direct investment long run, inflow, equilibrium
 D a persistent rise in foreign currency reserves Inflows ↑, disequilibrium.

1Rs: \$1.20
1Rs: \$1.00

- 23 At present, one unit of a country's currency exchanges for US\$1.20. The country aims to set its exchange rate at US\$1.00. *Depreciate other currency and Appreciate US\$*

Which combination of government actions in the foreign exchange market must achieve this aim?

A buying US currency and buying its own currency

Des ↑, appreciate

☒ B buying US currency and selling its own currency

Buy \$ (Appreciate), sell Rs (depreciate)

C selling US currency and buying its own currency

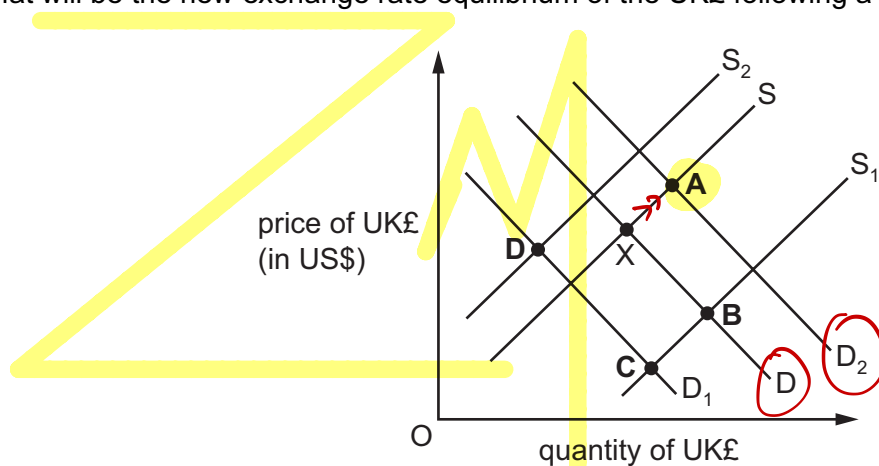
Buy Rs, Appreciate

D selling US currency and selling its own currency

Selling \$, Depreciate

- 24 The diagram shows the exchange rate for the UK£ in terms of the US\$. The original equilibrium exchange rate is at X.

What will be the new exchange rate equilibrium of the UK£ following a rise in UK interest rates?



*FDI ↑
Demand £ ↑
* D to D2
* X to A*

- 25 A country's terms of trade increased from a base year value of 100 to 120 in the following year.

If export prices had increased by 50%, what was the change in the price of the country's imports?

A -30%

B -25%

☒ C +25%

D +30%

$$TOT = \frac{X \text{ prices}}{M \text{ prices}} \times 100$$

$$120 = \frac{150}{x} \times 100$$

$$x = 125$$

$$125 - 100 = +25\%$$

- 26 In each country, P and Q, one person can either produce the quantity of X or the quantity of Y shown.

In which case does country P have absolute advantage in the production of Y and country Q have comparative advantage in the production of X?

		country	product X	product Y
A	α	P	6	7
		Q	6	9
B	α	P	10	8
		Q	7	9
C		P	12	6
		Q	8	4
D		P	16	15
		Q	14	8

Absolute (Q)

Absolute (Q)

Absolute (P)

Absolute (P)

comparative
X : Y

1 : 0.5 (P)

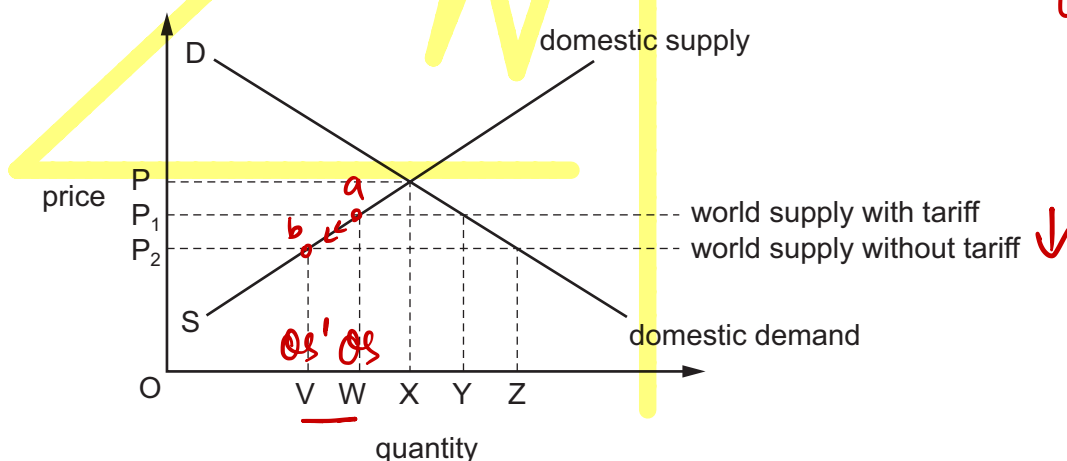
1 : 0.5 (Q)

1 : 0.93 (P)

1 : 0.57 (Q)

lower opportunity cost.

- 27 A government removes the tariff on a product as shown in the diagram.



What will be the change in domestic production? OS at WS with to without tariff

- A a reduction of WV

- B a reduction of XV

- C a reduction of XW

- D a reduction of ZY

movement in domestic supply

movement in domestic supply

movement in domestic demand

- 28 What would be increased by an expansionary fiscal policy? $AD \uparrow$, $G \uparrow$, $AD \uparrow$

- A budget deficit

- B exchange rate

- C money supply

- D rate of direct taxation

Government spending exceeds tax revenue

$\uparrow$, Appreciation, Trade deficit, $AD \downarrow$ (also part of monetary)

$\uparrow$ (monetary)

$\uparrow$, $C \downarrow$, $I \downarrow$, $AD \downarrow$

* Expenditure switching, making imports expensive, protectionist policy.

11

- 29 Possible policies a government might use to reduce a deficit on the current account of the balance of payments include devaluation, government spending cuts, interest rate rises and tariffs on imports.

Which two policies would be classified as expenditure-switching? *Devaluation and Tariffs on imports*

- A devaluation and government spending cuts
- B government spending cuts and interest rate rises
- C interest rate rises and tariffs on imports
- ☒ D tariffs on imports and devaluation

* Government spending cuts and interest rate rises are expenditure reducing policy

- 30 In March 2014, Sweden had a change in its Consumer Price Index of -0.6%. *(Deflation)*

Which combination of policies might the government use to restore price stability? *Expansionary*

- Contractionary*
- A increase interest rates and increase indirect taxes
 - B increase interest rates and reduce government expenditure
 - C reduce government spending and increase income tax
 - ☒ D reduce interest rates and increase government expenditure

Expansionary monetary

↓

C↑ I↑ AD↑

Expansionary fiscal

↓

G↑ AD↑

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